Micron Technology, Inc.

MU NASDAQ

Buy	$1011.75 ▲ 4.13%	12M Price Target **$1250.00**	52-Week Range $113.46 – $1255.00	Market Cap $1.14T

MU: China Chip Ban Rumors + BofA $1,550 Target Fuel Rally

WHAT HAPPENED

- MU popped 4% to $1,011 — the driver is Bank of America hiking its price target to $1,550 (call it ~53% upside from here), plus overnight reports that the Trump administration is pressuring Apple NOT to buy memory chips from Chinese suppliers. That's a direct handoff of market share to Micron and Samsung/SK Hynix — MU is the only US-based player, so politically it's the cleanest beneficiary.
- Counterweight: futures were weak this morning on rising Treasury yields (bonds paying more makes expensive tech stocks less attractive) and Middle East tensions flaring back up. So MU is fighting a macro headwind and still up 4% — that tells you the company-specific news is strong.

WHY IT MATTERS

The Apple/China chip story is bigger than one headline — it's the crystallization of a multi-year trend where the US government is effectively guaranteeing Micron a bigger slice of the global memory market by forcing Western customers off Chinese suppliers (YMTC and CXMT). If Apple actually complies, that's tens of billions in memory purchases getting redirected, and MU is one of only three credible suppliers globally. The BofA target hike to $1,550 isn't random — analysts are baking in HBM (high-bandwidth memory, the chips that go into Nvidia AI GPUs) pricing staying tight through 2027 because AI demand is outrunning supply. Watch for: does Apple push back publicly? If they comply quietly, MU keeps running. If they resist and lobby against it, the political tailwind gets messier.

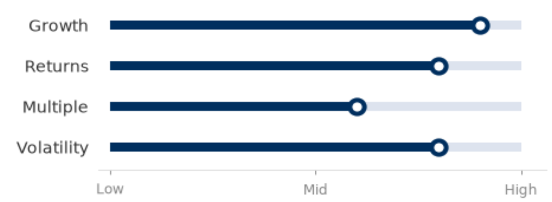
POLICY & POLITICAL WATCH

The CHIPS Act money is still flowing to Micron's Idaho and New York fabs — they're one of the largest grant recipients, and any expansion of CHIPS 2.0 funding (being discussed in Congress) is direct upside. The bigger near-term policy story is export controls: the Commerce Department is reportedly weighing tighter restrictions on Chinese memory makers, and the Apple pressure campaign suggests the administration is escalating from "restrict Chinese exports" to "restrict US companies from buying Chinese chips" — a much more aggressive stance that benefits MU disproportionately. Risk to watch: if a broader US-China trade deal gets negotiated (unlikely near-term given Middle East distraction), tech decoupling could soften.

IS IT EXPENSIVE?

Key Data	
Price (USD)	**$1011.75**
12M Price Target	**$1250.00**
Upside / (Downside)	**+23.5%**
Market Cap	**$1.14T**
FY2026E Revenue	**$48,500M**
FY2027E Revenue	**$62,000M**
FY2026E EPS	**$14.20**
FY2027E EPS	**$19.50**
Fwd P/E	**71.2x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$1150.00**	$1050.00	**$900.00**
6 Months	**$1400.00**	$1250.00	**$850.00**
1 Year	**$1600.00**	$1300.00	**$800.00**
2 Years	**$1900.00**	$1500.00	**$750.00**
5 Years	**$2500.00**	$1800.00	**$900.00**
10 Years	**$4000.00**	$2500.00	**$1000.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Semiconductors broadly, especially memory and AI infrastructure — every policy move from this administration seems to widen the moat for US-based chipmakers. Defense tech also catching a bid on Middle East tension.

COOLING OFF: Anything with China revenue exposure (Apple itself is caught in the crossfire), and rate-sensitive growth names as Treasury yields climb.

ROTATION WATCH: Money is rotating INTO domestic semis and OUT of China-exposed consumer tech — the Apple headline is the perfect illustration of the trade. Rising yields are also pushing money out of speculative small-cap AI names into profitable mega-cap AI beneficiaries like MU and NVDA.

RELATED PLAY: If MU keeps running on HBM demand, watch the equipment makers — Applied Materials (AMAT) and Lam Research (LRCX) sell the picks and shovels to build the fabs. Also SanDisk if the memory trade broadens beyond DRAM into NAND.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI kingpin — every HBM chip MU sells basically goes into an Nvidia GPU, so they move together.
- AVGO (Broadcom): Custom AI silicon for hyperscalers keeps winning; policy tailwinds for US chip design are lifting all boats.

MU CONTEXT: MU is leading the memory subsector but lagging NVDA on a 1-year basis — which actually makes it the catch-up trade. The BofA upgrade suggests the Street is starting to see MU as the "next leg" of the AI trade rather than a cyclical laggard.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: $950-980 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: HBM pricing crack, or Trump admin softens China chip stance in trade deal

Hedging: Buy protective puts around $900, or pair with a short on a Chinese memory-exposed name